

GOVERNMENT OF INDIA
MINISTRY OF FINANCE — DEPARTMENT OF REVENUE
CENTRAL GOODS AND SERVICES TAX ACT, 2017

CGST COMMISSIONERATE, MUMBAI EAST
FORM GST DRC-01 [See Rule 142(1)]

Reference No. F. No. CGST/MUM-E/74/2025-26/007741
Date of Issue: 22-08-2026

To,
M/s HERITAGE CONSTRUCTION COMPANY
GSTIN: 27AANHC8832M1ZQ
Plot 14, MIDC Andheri East, Mumbai – 400 093, Maharashtra

Tax Period: April 2022 to March 2023 F.Y.: 2022-23
Act: Central Goods and Services Tax Act, 2017 / Maharashtra SGST Act, 2017
Section/Sub-section: **Section 74(1) of the CGST Act, 2017 — Fraud / Wilful Misstatement / Suppression of Facts**
SCN Reference No.: CGST/MUM-E/SCN/74/2026/007741 Date: 22-08-2026

SUMMARY OF SHOW CAUSE NOTICE

(a) Brief Facts of the Case:

Intelligence inputs received by CGST Commissionerate, Mumbai East and subsequent verification of books of accounts, bank statements, and third-party data of M/s Heritage Construction Company for F.Y. 2022-23 has revealed that the taxable turnover declared in Form GSTR-1 and GSTR-3B is substantially lower than the actual turnover computed from bank credits, TDS data (Form 26AS), and project completion certificates obtained from RERA, Maharashtra. The undisclosed taxable turnover amounts to **Rs. 42,00,000/-** on which GST of **Rs. 7,56,000/-** (CGST Rs. 3,78,000/- + SGST Rs. 3,78,000/-) was not paid.

(b) Grounds — Suppression of Facts / Fraud:

- The taxable turnover declared in GSTR-1 for F.Y. 2022-23 was Rs. 1,18,00,000/- whereas bank credit analysis and RERA data establishes actual turnover of Rs. 1,60,00,000/-.
- The taxpayer deliberately omitted project invoices amounting to Rs. 42,00,000/- from GST returns with intent to evade tax, constituting 'suppression of facts' and 'fraud' as defined under the Explanation to Section 74 of the CGST Act, 2017.
- The extended limitation period of 5 years under Section 74 is invoked as the evasion involves wilful misstatement and suppression.
- Penalty equivalent to 100% of tax evaded is leviable under Section 74(1) of the CGST Act.

(c) Tax and Other Dues:

Sr.	Tax Period	Act	State (POS)	Tax/Cess (Rs.)	Interest (Rs.)	Penalty (Rs.)	Total (Rs.)
1	Apr 22–Mar 23	CGST	Maharashtra	3,78,000	1,36,080	3,78,000	8,92,080
2	Apr 22–Mar 23	SGST	Maharashtra	3,78,000	1,36,080	3,78,000	8,92,080
			Total	7,56,000	2,72,160	7,56,000	17,84,160

IMPORTANT: This notice is issued under Section 74(1) involving allegations of fraud and wilful suppression. The penalty leviable is 100% of the tax amount (Rs. 7,56,000/-). Total demand including tax, interest, and penalty: Rs. 17,84,160/-.

You are required to file your reply using Form DRC-06 on www.gst.gov.in within **THIRTY (30) DAYS** from the date of service. A personal hearing is scheduled on **29-09-2026 at 11:00 AM** at the office of the undersigned. Failure to reply shall result in ex-parte proceedings.

(Authorized Signatory)
Priya Nambiar
Assistant Commissioner (Anti-Evasion), CGST
CGST Commissionerate, Mumbai East

